individuals, households and small businesses would suffer no or lower taxes depending upon the level of their incomes.

Taxation of Non-Resident Incomes

In principle, there should be no differentiation in taxation of income earned in India by a resident or by a non-resident. Profits made by a foreign direct investor in an Indian company should be taxed at the same rate as the profits made by a domestic investor instead of treating dividends distributed to foreign investors at lower rates. The reverse—the domestic investor getting better treatment—is also not desirable as the foreign capital serves India's economic interests equally well. The same logic applies to bond investments by domestic and foreign investors or, for that matter, by portfolio investment investors of both equity and debt.

Like many other countries, India has also entered into a number of double taxation avoidance agreements (DTAA). DTAA provisions are built on the fundamental rationale of residents being taxed for their global incomes. This leads to the creation of all kinds of fake residences in countries that levy very low or no tax. It also leads to roundtripping of funds from the residents to other countries. If this logic is fundamentally upended by taxing everyone (resident or non-resident) on the same basis by taxing all domestic income, all the incentives to set up fake residences in tax havens will go away. Likewise, there would remain no incentive for roundtripping.

The only disadvantage would be that India would not be able to tax foreign income of residents. That should be fine. This income is earned in the foreign country. That foreign country should be the one to tax this income.

There is an important ongoing debate in the world about the taxation of profits earned by digital companies like Google and Netflix on the services streamed in a country without establishing any permanent establishment in